

# Understand HOUSING FINANCE

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## WHAT IS A HOME LOAN?

Home loan is the money borrowed from a bank or a housing finance institution on interest for buying / constructing / upgrading a residential real estate property.



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## WHAT IS A DOWN PAYMENT?

Generally, banking finance institutions pay around 75 to 85% of the cost of the property bought. The remaining 25 to 15% of the amount is paid up front, which is popularly known as the down payment.



## DO I NEED A GUARANTOR TO GET A HOME LOAN?

It depends from one bank to another. Some banks ask for 1-2 guarantors.



## WHAT IS THE DIFFERENCE BETWEEN FIXED RATE & FLOATING RATE OF INTEREST?

In fixed interest rate, the interest remains constant throughout the loan period irrespective of the changes in market conditions while in the floating interest rate, the interest can decrease or increase depending on market fluctuations.



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## IF I HAVE MONEY, IS IT STILL NECESSARY TO AVAIL OF A BANK LOAN FOR BUYING A HOME?

It is generally advantageous to go for a home loan as it helps you in availing tax benefits. However, please consult your CA or tax advisor to discuss the advantages and disadvantages in your case.



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## CAN I SELL THE PROPERTY, EVEN WHEN THE HOME LOAN IS OUTSTANDING?

Yes, you can sell the property with the consent of the banking institution.

If the buyer wants to take a loan to buy the property, the process is much easier if he approaches the same bank. In these cases, the bank does not need to release the property papers to another bank before getting the payment.

If the buyer wants to make a payment outright, he can make it to the bank directly. The property papers will be released only after the bank has recovered the entire loan amount.



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## WHAT ARE THE DOCUMENTS NEEDED TO APPLY FOR A HOME LOAN?

You have to submit the following documents:

Proof of Identity: PAN, Driving license, Voter ID, Aadhar Card (KYC).

Proof of Income (Salaried) Applicants:  
Latest 3 Months salary slip showing all deductions and Form 16 for the last three years.  
Proof of Income (Self Employed) Applicants:  
IT returns for the past 2 years and computation of income for the last 2 years as certified by a CA or vary as per Bank Standard.

Bank Statement: Past 6 months/ or vary as per Bank Standard.

Guarantor: Guarantor Form (Optional) / or vary as per Bank Standard.



## DOES TENURE AFFECTS THE LOAN COST?

Longer the tenure you have, the lesser will be your EMI but higher would be the interest outgo. In shorter tenures, you pay a greater EMI, but the loan gets repaid faster and you pay less interest.



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## WHAT IS THE TENURE OF A HOME LOAN?

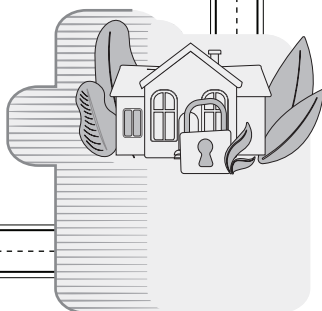
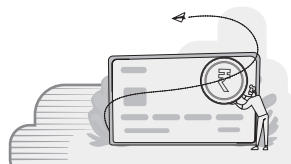
As home loans cover a large sum, the tenure generally varies between 3 to 30 years.



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## DO I NEED TO FURNISH ANY SECURITY TO GET A HOME LOAN?

In a majority of the cases, the property to be purchased itself becomes the security and is mortgaged to the lender till the entire loan is repaid. A number of lenders may ask for additional security such as life insurance policies, Fixed Deposit receipts and savings certificates.



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